11 Nov 2026 11:20:42 ET | 14 pages

Quanta Computer (2382.TW)

3Q26 OPM miss on rising costs and margin dilution from AI server

CITI'S TAKE

3Q26 GM came in lower than the market's expectation. While 3Q GM dilution impact from AI server is well-expected by the market, OPM currently seems not be as resilient as expected. In the coming quarters, AI/regular server momentum remains robust vs collapsing NB shipments. Though the next-gen AI server is set to ramp and drive its earnings growth, we think the market would at least focus on its OPM profile, which currently seemingly sees lack of support. We remain positive on its 2027 earnings but also share concerns over AI sustainability after the US midterm elections. We lower PE and cut TP to NT$450 (14x 2027E EPS) vs. NT$500 (15x 2027E EPS).

3Q26 margin miss — 3Q26 sales grew 8% with AI and regular servers taking the lead vs declining NB demand. Mgmt. cited declining unit shipments in AI server due to the start of the GPU product transition period. 3Q26 declined 0.3ppt QoQ to 4.8%, in line with Citi forecast but slightly missing consensus (BBG) by 0.2ppt, which mgmt. attributed to rising raw material costs and dilution impact from AI server. Overall, OP didn't see leverage benefit with OPEX ratio rising by 0.1ppt QoQ, likely due to increasing R&D expenses for the upcoming AI projects. Thus, 3Q OPM came 0.2ppt/0.4ppt lower than Citi/consensus forecasts.

4Q26: AI/regular server still the driver — Mgmt. expects AI/regular server sales to grow continuously in 4Q26 with declining unit shipments of AI server. NB shipments is guided to go down double-digit % QoQ. Considering next-gen AI server ramp with lower GM and less scale of NB, the mgmt. expects 4Q26 GM to decline QoQ and target to maintain OPM at similar levels vs 3Q26. Currently, we forecast 4Q26E sales to grow 2% QoQ with GM down 0.3ppt QoQ, considering dilution impact of next-gen AI server and rising raw material cost.

No change in demand after the midterm election — The company sees no change in its order forecasts and remains positive on the long-term AI demand. The company still expects double-digit % YoY growth in AI/regular server sales in 2027 with server sales mix reaching 85-90%. NB shipments is guided to be down HSD% YoY in 2027. 2027 capex is guided at range of NT$40-45bn in 2027.

Earnings/TP cut to factor in GM dilution and AI demand concerns — We adjust our 2026/27/28E earnings forecasts by 0%/-6%/-5% to factor in weak GM profile. We lower PE and cut its TP to NT$450 (14x 2027E EPS) from NT$500 (15x 2027E EPS) to factor in rising concerns over AI sustainability after the US midterm elections.

Earnings Summary

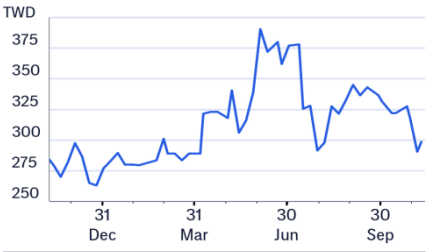
Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	59,702	15.46	50.5	19.3	5.2	29.2	4.4
2025A	74,988	19.41	25.6	15.4	4.7	32.2	5.2
2026E	102,712	26.59	37.0	11.2	3.9	38.0	7.1
2027E	122,133	31.62	18.9	9.4	3.4	38.5	8.5
2028E	160,568	41.57	31.5	7.2	2.9	43.5	11.2

Source: Powered by dataCentral

Buy

Price (11 Nov 26 13:30)	NT$298.00
Target price	NT$450.00↓
from NT$500.00	
Expected share price return	51.0%
Expected dividend yield	7.1%
Expected total return	58.2%
Market Cap	NT$1,224,073M
	US$37,151M

Price Performance
(RIC: 2382.TW, BB: 2382 TT)



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2382.TW: Fiscal year end 31-Dec

Price: NT$298.00; TP: NT$450.00; Market Cap: NT$1,224,073m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	1,410,756	2,123,689	4,095,166	5,468,287	6,737,421
Cost of sales	-1,299,996	-1,975,357	-3,900,932	-5,223,527	-6,444,639
Gross profit	110,760	148,332	194,234	244,760	292,782
Gross Margin (%)	7.9	7.0	4.7	4.5	4.3
EBITDA (Adj)	**70,206**	**96,661**	**134,688**	**178,982**	**231,196**
EBITDA Margin (Adj) (%)	5.0	4.6	3.3	3.3	3.4
Depreciation	-8,584	-9,265	-12,924	-17,702	-20,991
Amortisation	0	0	0	0	0
EBIT (Adj)	**61,622**	**87,396**	**121,765**	**161,280**	**210,206**
EBIT Margin (Adj) (%)	4.4	4.1	3.0	2.9	3.1
Net interest	2,454	-1,920	-7,153	-6,771	-6,771
Associates	-123	220	873	0	0
Non-Op/Except/Other Adj	9,214	9,576	11,099	0	0
Pre-tax profit	**73,167**	**95,273**	**126,583**	**154,509**	**203,435**
Tax	-12,884	-19,487	-23,222	-31,727	-42,218
Extraord./Min.Int./Pref.div.	-581	-799	-649	-649	-649
Reported net profit	**59,702**	**74,988**	**102,712**	**122,133**	**160,568**
Net Margin (%)	4.2	3.5	2.5	2.2	2.4
Core NPAT	59,702	74,988	102,712	122,133	160,568
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Reported EPS ($)	15.46	19.41	26.59	31.62	41.57
Core EPS ($)	15.46	19.41	26.59	31.62	41.57
DPS ($)	13.00	15.48	21.20	25.21	33.26
CFPS ($)	-9.95	-8.40	-11.51	9.18	68.88
FCFPS ($)	-13.35	-12.33	-22.79	-1.18	62.67
BVPS ($)	57.55	63.06	76.89	87.31	103.68
Wtd avg ord shares (m)	3,863	3,863	3,863	3,863	3,863
Wtd avg diluted shares (m)	3,863	3,863	3,863	3,863	3,863
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue (%)	30.0	50.5	92.8	33.5	23.2
EBIT (Adj) (%)	41.5	41.8	39.3	32.5	30.3
Core NPAT (%)	50.5	25.6	37.0	18.9	31.5
Core EPS (%)	50.5	25.6	37.0	18.9	31.5
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash & cash equiv.	201,099	178,310	156,482	59,349	190,134
Accounts receivables	371,246	494,969	800,296	1,033,593	972,520
Inventory	261,886	512,946	745,354	979,211	1,026,149
Net fixed & other tangibles	67,061	72,970	103,603	125,901	128,910
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	31,155	83,918	153,158	208,612	229,285
Total assets	**932,446**	**1,343,112**	**1,958,893**	**2,406,665**	**2,546,998**
Accounts payable	282,782	535,232	828,171	1,080,508	1,132,302
Short-term debt	179,540	258,327	339,960	339,960	339,960
Long-term debt	50,983	56,579	114,498	114,498	114,498
Provisions & other liab	188,836	237,229	367,058	522,245	547,584
Total liabilities	**702,141**	**1,087,367**	**1,649,688**	**2,057,211**	**2,134,344**
Shareholders' equity	222,286	243,577	297,014	337,262	400,463
Minority interests	8,020	12,167	12,192	12,192	12,192
Total equity	**230,306**	**255,745**	**309,205**	**349,454**	**412,654**
Net debt (Adj)	**29,424**	**136,596**	**297,976**	**395,109**	**264,324**
Net debt to equity (Adj) (%)	12.8	53.4	96.4	113.1	64.1

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	19.3	15.4	11.2	9.4	7.2
PB (x)	5.2	4.7	3.9	3.4	2.9
EV/EBITDA (x)	17.1	13.3	10.5	8.6	6.5
FCF yield (%)	-4.5	-4.1	-7.6	-0.4	21.0
Dividend yield (%)	4.4	5.2	7.1	8.5	11.2
Payout ratio (%)	84	80	80	80	80
ROE (%)	29.2	32.2	38.0	38.5	43.5
Cashflow (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBITDA	70,206	96,661	134,688	178,982	231,196
Working capital	-108,509	-117,491	-160,755	-105,039	83,853
Other	-121	-11,610	-18,404	-38,498	-48,989
Operating cashflow	**-38,424**	**-32,439**	**-44,470**	**35,445**	**266,061**
Capex	-13,132	-15,174	-43,557	-40,000	-24,000
Net acq/disposals	842	-5,131	-16,285	-10,045	-13,259
Other	0	0	0	0	0
Investing cashflow	**-12,290**	**-20,305**	**-59,842**	**-50,045**	**-37,259**
Dividends paid	-34,691	-50,204	-59,782	-81,885	-97,368
Financing cashflow	**28,917**	**38,210**	**74,229**	**-82,533**	**-98,017**
Net change in cash	**-16,336**	**-14,534**	**-30,083**	**-97,133**	**130,786**
Free cashflow to s/holders	**-51,557**	**-47,613**	**-88,027**	**-4,555**	**242,061**

For definitions of the items in this table, please click here.

Figure 1. Quanta – 3Q26 Results

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	1,115,545	1,036,593	8%	495,258	125%	1,105,385	1%	1,110,407	0%
Gross profit	53,024	52,079	2%	33,918	56%	53,322	-1%	55,230	-4%
Gross margin	4.8%	5.0%	-0.3 ppt	6.8%	-2.1 ppt	4.8%	-0.1 ppt	5.0%	-0.2 ppt
Op. profit	32,204	34,244	-6%	18,374	75%	34,530	-7%	36,057	-11%
OP margin	2.9%	3.3%	-0.4 ppt	3.7%	-0.8 ppt	3.1%	-0.2 ppt	3.2%	-0.4 ppt
Net income	28,634	28,787	-1%	16,630	72%	25,387	13%	28,225	1%
EPS (NT$)	7.36	7.42	-1%	4.25	73%	6.57	12%	7.21	2%

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Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. Quanta – Earnings Revisions

	4Q26E			1Q27E			2026E			2027E			2028E		
(NT$mn)	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff
Sales	1,133,808	1,145,629	-1%	1,152,113	1,147,872	0%	4,095,166	4,096,828	0%	5,468,287	5,373,345	2%	6,737,421	6,619,848	2%
Sequential growth (%)	2%	4%		2%	0%		93%	93%		34%	31%		23%	23%	
Gross profit	50,434	52,488	-4%	52,306	53,248	-2%	194,234	196,586	-1%	244,760	246,808	-1%	292,782	294,270	-1%
Opex	18,141	16,039	13%	19,586	16,070	22%	72,469	68,338	6%	83,480	73,652	13%	82,576	72,818	13%
Operating profit	32,293	36,449	-11%	32,721	37,178	-12%	121,765	128,248	-5%	161,280	173,155	-7%	210,206	221,452	-5%
Pre-tax profit	30,600	34,375	-11%	31,028	35,103	-12%	126,583	127,928	-1%	154,509	164,857	-6%	203,435	213,153	-5%
Net income	24,633	27,485	-10%	24,146	27,204	-11%	102,712	102,716	0%	122,133	130,257	-6%	160,568	168,308	-5%
EPS (NT$)	6.33	7.12	-11%	6.22	7.04	-12%	26.59	26.59	0%	31.62	33.72	-6%	41.57	43.57	-5%
Gross margin (%)	4.4%	4.6%	-0.1 ppt	4.5%	4.6%	-0.1 ppt	4.7%	4.8%	-0.1 ppt	4.5%	4.6%	-0.1 ppt	4.3%	4.4%	-0.1 ppt
Opex ratio (%)	1.6%	1.4%	+0.2 ppt	1.7%	1.4%	+0.3 ppt	1.8%	1.7%	+0.1 ppt	1.5%	1.4%	+0.2 ppt	1.2%	1.1%	+0.1 ppt
Operating margin (%)	2.8%	3.2%	-0.3 ppt	2.8%	3.2%	-0.4 ppt	3.0%	3.1%	-0.2 ppt	2.9%	3.2%	-0.3 ppt	3.1%	3.3%	-0.2 ppt
Net margin (%)	2.2%	2.4%	-0.2 ppt	2.1%	2.4%	-0.3 ppt	2.5%	2.5%	+0.0 ppt	2.2%	2.4%	-0.2 ppt	2.4%	2.5%	-0.2 ppt

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Source: Citi Research Estimates

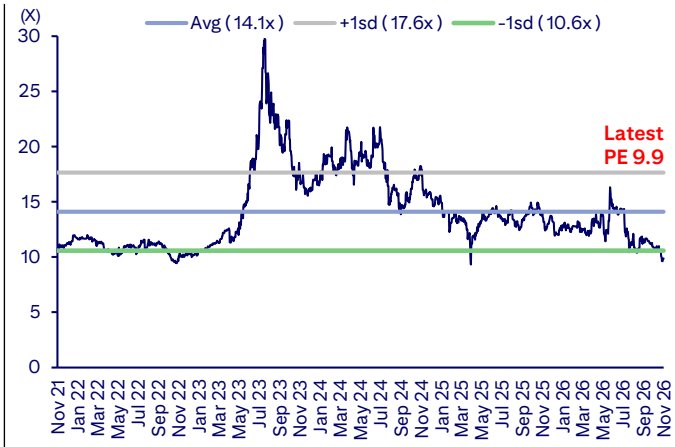
Figure 3. Quanta – Forecast summary

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Sales	809,221	1,036,593	1,115,545	1,133,808	1,152,113	1,190,286	1,511,137	1,614,751	1,090,859	1,129,453	1,280,429	1,085,611	1,410,756	2,123,689	4,095,166	5,468,287	6,737,421
Gross profit	**38,697**	**52,079**	**53,024**	**50,434**	**52,306**	**55,268**	**67,817**	**69,369**	**63,971**	**72,111**	**70,915**	**84,883**	**110,760**	**148,332**	**194,234**	**244,760**	**292,782**
OPEX	15,673	17,835	20,820	18,141	19,586	20,235	22,667	20,992	31,519	34,833	39,725	41,339	49,138	60,936	72,469	83,480	82,576
Operating profit	**23,024**	**34,244**	**32,204**	**32,293**	**32,721**	**35,033**	**45,150**	**48,377**	**32,452**	**37,278**	**31,190**	**43,544**	**61,622**	**87,396**	**121,765**	**161,280**	**210,206**
Total Non-OP	1,513	2,317	2,681	(1,693)	(1,693)	(1,693)	(1,693)	(1,693)	1,980	6,158	9,591	8,187	11,545	7,877	4,818	(6,771)	(6,771)
Pre-tax profit	**24,537**	**36,561**	**34,885**	**30,600**	**31,028**	**33,340**	**43,457**	**46,684**	**34,432**	**43,436**	**40,781**	**51,731**	**73,167**	**95,273**	**126,583**	**154,509**	**203,435**
Income tax	3,231	7,774	6,251	5,967	6,882	7,209	9,199	8,438	9,042	9,077	11,058	11,243	12,884	19,487	23,222	31,727	42,218
Net profit	**21,192**	**28,651**	**28,422**	**24,446**	**24,033**	**25,996**	**34,046**	**38,059**	**25,328**	**33,653**	**28,957**	**39,676**	**59,702**	**74,988**	**102,712**	**122,133**	**160,568**
EPS (NT$)	**5.49**	**7.42**	**7.36**	**6.33**	**6.22**	**6.73**	**8.81**	**9.85**	**6.56**	**8.71**	**7.50**	**10.27**	**15.46**	**19.41**	**26.59**	**31.62**	**41.57**
Margins (%)																	
Gross profit	**4.8**	**5.0**	**4.8**	**4.4**	**4.5**	**4.6**	**4.5**	**4.3**	**5.9**	**6.4**	**5.5**	**7.8**	**7.9**	**7.0**	**4.7**	**4.5**	**4.3**
OPEX	1.9	1.7	1.9	1.6	1.7	1.7	1.5	1.3	2.9	3.1	3.1	3.8	3.5	2.9	1.8	1.5	1.2
Operating profit	**2.8**	**3.3**	**2.9**	**2.8**	**2.8**	**2.9**	**3.0**	**3.0**	**3.0**	**3.3**	**2.4**	**4.0**	**4.4**	**4.1**	**3.0**	**2.9**	**3.1**
Pre-tax profit	**3.0**	**3.5**	**3.1**	**2.7**	**2.7**	**2.8**	**2.9**	**2.9**	**3.2**	**3.8**	**3.2**	**4.8**	**5.2**	**4.5**	**3.1**	**2.8**	**3.0**
Net profit	2.6	2.8	2.5	2.2	2.1	2.2	2.3	2.4	2.3	3.0	2.3	3.7	4.2	3.5	2.5	2.2	2.4
Y/Y(%)																	
Net sales	66.6	105.6	125.2	77.5	42.4	14.8	35.5	42.4	5.9	3.5	13.4	(15.2)	30.0	50.5	92.8	33.5	23.2
Gross profit	0.6	46.6	56.3	24.8	35.2	6.1	27.9	37.5	30.1	12.7	(1.7)	19.7	30.5	33.9	30.9	26.0	19.6
Opex	12.9	17.9	33.9	10.8	25.0	13.5	8.9	15.7					18.9	24.0	18.9	15.2	(1.1)
Operating profit	(6.4)	67.8	75.3	34.4	42.1	2.3	40.2	49.8	70.9	14.9	(16.3)	39.6	41.5	41.8	39.3	32.5	30.3
Pre-tax profit	(2.9)	69.1	66.8	11.4	26.5	(8.8)	24.6	52.6	67.5	26.2	(6.1)	26.9	41.4	30.2	32.9	22.1	31.7
Net profit	8.7	69.9	73.0	10.1	13.4	(9.3)	19.8	55.7	58.9	32.9	(14.0)	37.0	50.5	25.6	37.0	18.9	31.5
Q/Q(%)																	
Net sales	26.7	28.1	7.6	1.6	1.6	3.3	27.0	6.9									
Gross profit	(4.2)	34.6	1.8	(4.9)	3.7	5.7	22.7	2.3									
Opex	(4.3)	13.8	16.7	(12.9)	8.0	3.3	12.0	(7.4)									
Operating profit	(4.1)	48.7	(6.0)	0.3	1.3	7.1	28.9	7.1									
Pre-tax profit	(10.7)	49.0	(4.6)	(12.3)	1.4	7.5	30.3	7.4									
Net profit	(4.5)	35.2	(0.8)	(14.0)	(1.7)	8.2	31.0	11.8									

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Source: Company Reports, Citi Research

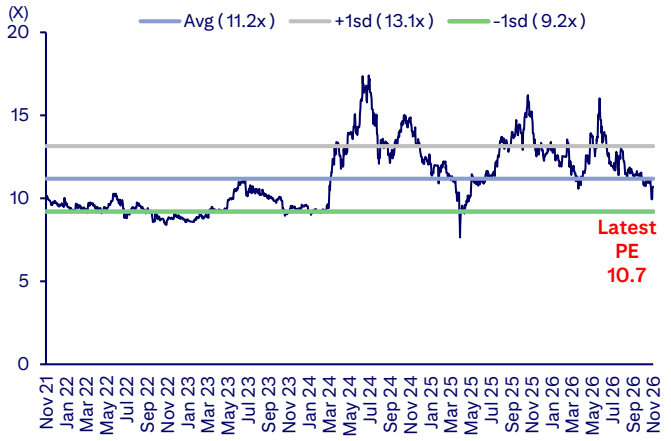
Figure 4. Quanta – 12M Forward P/E Band on Bloomberg consensus



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Source: Citi Research, Bloomberg

Figure 5. Hon Hai – 12M Forward P/B Band on Bloomberg consensus

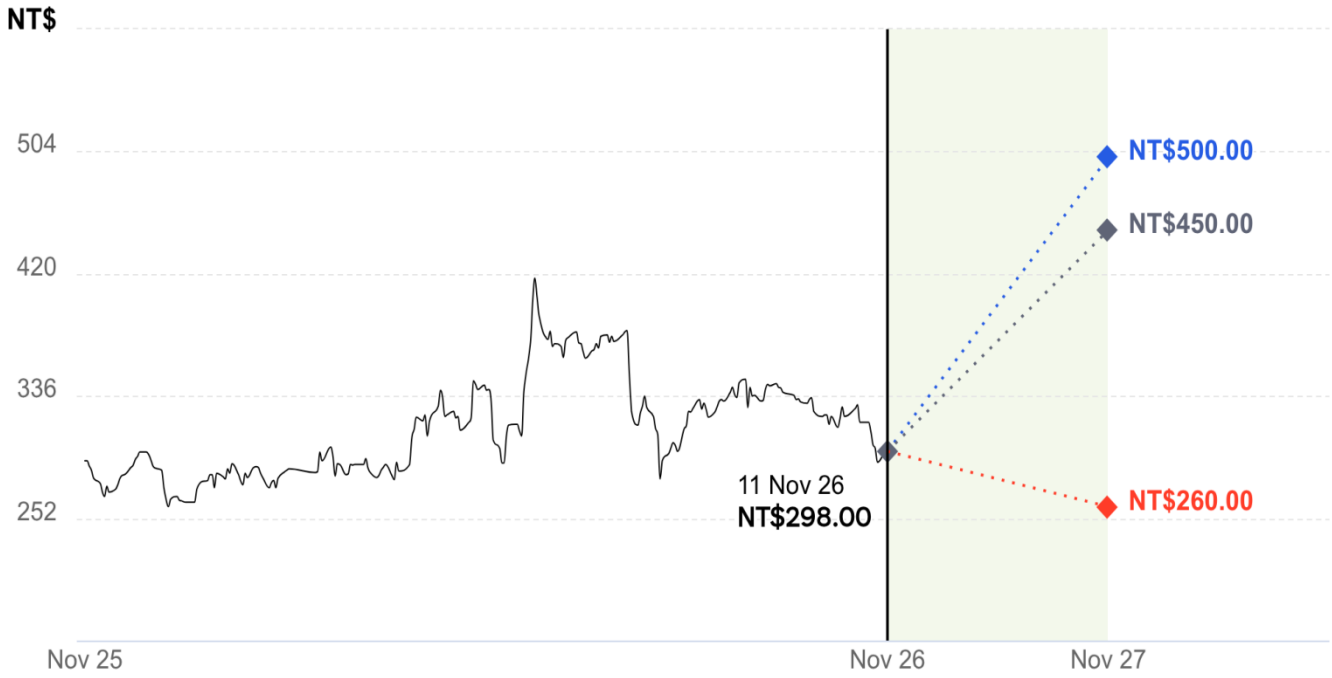


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Source: Citi Research, Bloomberg

Bull/Bear: Quanta Computer (2382.TW)

NT$ 500.00 ▲68% Upside | NT$ 450.00 ▲51% Upside | NT$ 260.00 ▼13% Downside



Spread 81pp
Current Price and expected returns (upside/downside) as of 11 Nov 2026

BULL Assumptions

- PE multiple at 16x 2027E EPS

BASE Assumptions

- OPM to be at 2.9% in 2027E
- PE multiple at 14x 2027E EPS

BEAR Assumptions

- OPM to be at 2.0% in 2027E
- PE multiple at 12x 2027E EPS

Quanta Computer

Company description

Founded in 1988, Quanta Computer is a Taiwan-based original design manufacturer (ODM) of notebook (NB) PCs and other electronic hardware. It is the world's largest NB ODM in terms of shipments, with major customers including the leading Taiwan, US, and Japanese electronics brands. In addition to notebooks, Quanta is expanding into cloud-related product development, which accounted for 30-35% of total revenues in 2022.

Investment strategy

We rate Quanta at Buy. We expect stabilizing NB shipment, solid server sales growth amid increasing AI-related applications, as well as rising EV component exposure to drive better margins and stronger earnings growth. The company's attractive cash yield should also help support the shares on the downside in case of market volatility.

Valuation

Our target price of NT$450 is based on a 14x PE multiple on 2027E earnings. The target multiple is in line with historical trading average since 2021, mainly to reflect strong earnings growth trajectory brought about by servers/AI servers and EV components. We use a P/E-based methodology as we believe the market will be primarily focused on Quanta's earnings performance given the dynamics of the NB/server industry.

Risks

Downside risks that could prevent the stock from reaching our target price include: 1) slower-than-expected server/AI server demand growth; 2) execution risks relating to margin improvement such as production yield rate following capacity relocation or supply-chain management; and 3) market share loss of key customers.

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Appendix A-1

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Quanta Computer (2382.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	15-Mar-24 11:16:53	1	*330.00	257.50
2	15-May-24 10:25:20	1	*360.00	287.00
3	12-Aug-24 00:05:26	1	*425.00	267.00
4	14-May-25 10:45:57	1	*400.00	276.50
5	12-Aug-25 11:05:06	1	*360.00	283.00
6	12-Nov-25 09:18:15	1	*425.00	288.00
7	14-May-26 11:37:26	1	*390.00	334.50
8	13-Aug-26 10:38:48	1	*500.00	325.00

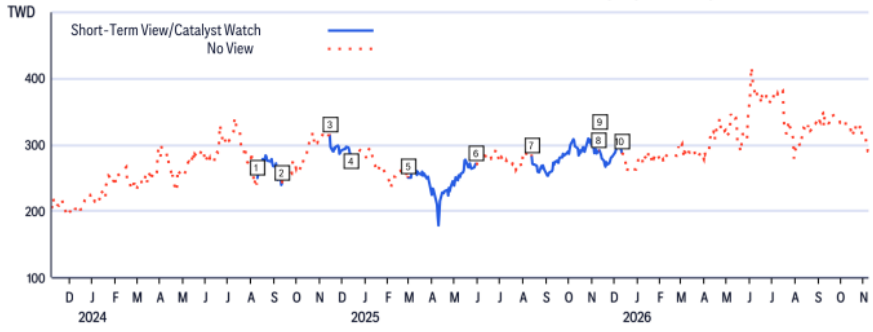
*Indicates Change

Rating/target price changes above reflect Eastern Time

Quanta Computer (2382.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Aug-24 20:05:26	Add STV	Upside	30 Days	250.00
2	11-Sep-24 21:44:35	Remove STV	Upside	30 Days	242.00
3	14-Nov-24 06:22:36	Add STV	Downside	30 Days	314.50
4	13-Dec-24 12:29:46	Remove STV	Downside	30 Days	285.50
5	28-Feb-25 03:39:56	Add STV	Upside	90 Days	250.50
6	29-May-25 21:56:17	Remove STV	Upside	90 Days	271.50
7	12-Aug-25 07:05:06	Add STV	Downside	90 Days	283.00
8	10-Nov-25 19:59:30	Remove STV	Downside	90 Days	291.50
9	11-Nov-25 04:26:38	Add STV	Upside	30 Days	291.50
10	11-Dec-25 19:36:56	Remove STV	Upside	30 Days	288.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
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